MEMORANDUM

To:	Executive Leadership Team, Board of Directors, and Transformation Sponsor
From:	ERP Transformation Advisory Team
Date:	12 July 2026
Subject:	ERP Transformation Programme: Recommended Implementation Strategy, Scope, and Data Continuity

Executive Summary

Alpha Manufacturing Group's current ERP environment no longer provides the level of operational visibility required to support an engineer-to-order manufacturing business. Although the existing system continues to process daily operations, it does not provide timely insight into contribution margins, engineering changes, production costs, or overall business performance. As a result, management decisions are often based on incomplete or delayed information, limiting the organisation's ability to respond quickly to operational challenges.

Following discussions with Finance, Engineering, Manufacturing, Procurement, and Operations, we found that the core issue is not simply an ageing ERP platform but the lack of integration between critical business functions. Engineering changes are not consistently reflected in production costs, bill of materials (BOM) management remains fragmented, and financial reporting does not always provide an accurate representation of operational performance.

We recommend implementing a single integrated ERP core over a twelve-month programme focused on Finance, Manufacturing, Procurement, Material Requirements Planning (MRP), and Engineering BOM management. CRM and HRIS should be intentionally deferred to a second phase to maintain focus on the capabilities that directly improve profitability, operational efficiency, and decision making. A disciplined governance structure, controlled scope management, robust data quality programme, and comprehensive testing strategy will be essential to delivering a successful implementation with minimal operational disruption.

1. Programme Strategy and Implementation Approach

The ERP programme should be managed as a business transformation initiative rather than a technology replacement project. The objective is to deploy a new system and improve operational visibility, standardise business processes, strengthen financial reporting, and establish a single source of reliable information across the organisation.

The programme should be guided by four strategic objectives:

- Restore accurate contribution margin reporting for every customer order.
- Integrate Engineering and Manufacturing through a single, reliable BOM structure.

- Replace the legacy ERP without interrupting production, customer deliveries, or financial operations.
- Establish governance that controls scope, data ownership, and future system customisation.

To reduce implementation risk, the programme should be delivered through four structured phases.

Phase	Primary Activities
Foundation	Define governance, organisational structure, chart of accounts, master data standards, and implementation policies.
Build	Configure ERP modules, develop integrations, and validate engineering and manufacturing processes.
Testing	Conduct data migration rehearsals, user acceptance testing, system integration testing, and two parallel month-end financial closes.
Cutover	Execute production deployment, end-user training, operational transition, and sixty to ninety days of post-implementation support.

This phased approach provides sufficient time to validate business processes, improve data quality, and reduce operational risk before the system enters production.

2. Key Programme Risks and Mitigation

Successful ERP implementations depend on proactive risk management. The following risks require continuous monitoring throughout the programme.

Risk	Business Impact	Mitigation Strategy
Poor BOM and master data quality	Incorrect production planning and inaccurate costing	Complete data cleansing, validation, and ownership before migration.
Excessive system customisation	Increased cost, complexity, and implementation delays	Operate a Change Control Board with authority to approve or reject all change requests.
Multi-entity financial complexity	Reporting inconsistencies and consolidation challenges	Finalise organisational structures and financial policies during the Foundation phase.
Operational disruption during go-live	Production delays and customer service interruptions	Perform comprehensive testing, parallel operations, and schedule deployment during low production periods.
Limited internal resource availability	Reduced project quality and delayed delivery	Allocate dedicated business representatives supported by experienced ERP implementation consultants.

Programme governance should be supported by an Executive Steering Committee responsible for monitoring progress, resolving major issues, approving scope changes, and ensuring strategic alignment throughout the implementation.

3. Scope and Data Continuity

To maintain programme focus, implementation should prioritise the capabilities that directly improve operational performance and financial visibility.

Day One Implementation Scope

Finance, General Ledger, Accounts Payable, Accounts Receivable, Procurement, Manufacturing, Material Requirements Planning (MRP), Engineering BOM and Engineering Change Control (ECN), multi-entity financial management, production costing, contribution margin reporting, and operational dashboards.

Deferred to Phase Two

CRM integration, HRIS and Payroll integration, advanced business intelligence capabilities, low-priority site-specific process variations, and custom developments that do not directly support operational performance or regulatory compliance.

Data Migration and Reporting Continuity

All master data, including customers, suppliers, inventory, engineering BOMs, and open transactions, should be cleansed and migrated into the new ERP. Approximately twenty-four to thirty-six months of historical transactional data should be migrated to support operational reporting, while older records should be retained in a secure read-only archive for audit and regulatory purposes.

Financial reporting continuity should be maintained through an interim reporting environment during the transition period. Prior to go-live, the organisation should complete at least two successful parallel month-end closes to verify financial accuracy, validate report outputs, and confirm that all reconciliations are complete before retiring the legacy system.

Recommendation

Based on our assessment, we recommend that Alpha Manufacturing Group approve a twelve-month ERP transformation programme centred on a single integrated ERP core. The programme should prioritise Finance, Manufacturing, Procurement, Engineering, and MRP while intentionally deferring CRM and HRIS integration to a second implementation phase.

Success will depend on disciplined governance, controlled scope management, strong executive sponsorship, comprehensive testing, and high-quality data migration. Adopting this approach will reduce implementation risk while delivering improved operational visibility, reliable contribution margin reporting, integrated engineering processes, and stronger financial control. These capabilities directly address the business challenges that motivated the ERP transformation and provide a scalable foundation for the organisation's future growth.